

OF THE PERSONAL DATA PROTECTION AUTHORITY

IN THE meeting today, attended by Prof. Pasquale Stanzione, President, Prof. Ginevra Cerrina Feroni, Vice President, Dr. Agostino Ghiglia and Attorney Guido Scorza, members, and Secretary General Fabio Mattei;

HAVING REGARD to Regulation (EU) 2016/679 of the European Parliament and of the Council of April 27, 2016, on the protection of natural persons with regard to the processing of personal data, and on the free movement of such data, which repeals Directive 95/46/EC, "General Data Protection Regulation" (hereinafter, "Regulation");

HAVING REGARD to Legislative Decree No. 196 of June 30, 2003, containing the "Code regarding the protection of personal data, containing provisions for the adaptation of the national legal system to Regulation (EU) 2016/679 of the European Parliament and of the Council of April 27, 2016, on the protection of natural persons with regard to the processing of personal data, and on the free movement of such data, which repeals Directive 95/46/EC" (hereinafter "Code");

HAVING REGARD to Regulation No. 1/2019 concerning internal procedures with external relevance, aimed at carrying out the tasks and exercising the powers entrusted to the Personal Data Protection Authority, approved by resolution No. 98 of April 4, 2019, published in G.U. No. 106 of May 8, 2019 and on www.gpdp.it, doc. web No. 9107633 (hereinafter "Regulation of the Authority No. 1/2019");

Having seen the documentation on file;

Having seen the observations made by the Secretary General pursuant to Article 15 of the Regulation of the Authority No. 1/2000 on the organization and functioning of the office of the Personal Data Protection Authority, doc. web No. 1098801;

Reporting by Dr. Agostino Ghiglia;

PREAMBLE

1. Introduction.

With a report submitted pursuant to Article 144 of the Code, it was alleged that the company Trasporto Passeggeri Emilia-Romagna S.p.A. (hereinafter, the "Company" or "TPER") had used a form for the subscription of public local transport service passes that was not compliant with the regulations on personal data protection.

In particular, within the aforementioned form, the provision of consent for certain processing purposes (sub lett. b) and c)) was presented as mandatory, considering that "the lack of consent [...] would result in TPER S.p.A. being unable to carry out and therefore unable to access the services [...] indicated," and, moreover, the data subjects could not express specific consent for each processing purpose presented.

Furthermore, a mere signature by the user at the bottom of the form was required, which was not directly related to consent for the processing of personal data (which was deemed to be given "with the purchase of the card"). The form states, in fact, that "with the purchase of the card, it is declared that the information provided pursuant to Article 13 (attached) has been received and reviewed, and for the purposes and in the manner provided therein, the following is authorized:

a) the use of personal data strictly necessary for the purchase of the card itself, also through collection and processing by certain third parties specifically appointed by TPER S.p.A.;

b) the use of personal data, also through collection and processing by certain third parties specifically appointed by TPER S.p.A., for conducting market research, service satisfaction surveys for the transport service, for participation in any promotional initiatives related to the purchase of annual personal subscriptions from TPER S.p.A., including prize competitions, for sending informational and advertising material [...];

c) the use of personal data, also through collection and processing by certain third parties specifically appointed by TPER S.p.A., for the activation of the SMS messaging service, related to the service provided by TPER S.p.A. on the mobile device of the subscription holder [...].

Aware that the provision of data is mandatory for the issuance by TPER S.p.A. of the personal identification card (letter a).

Aware that the lack of consent to the processing of data for the activities indicated in letters b and c will result in TPER S.p.A. being unable to carry them out and therefore unable to access the aforementioned services.

Attached is the information pursuant to Article 13 of Legislative Decree No. 196/2003."

2. The investigative activity.

With note dated XX (prot. No. XX), the Company, in response to a request for information from the Authority (note prot. No. XX of XX), stated, in particular, that:

"TPER is a public limited company whose object is [in particular] the exercise of activities related to the organization and management of transport systems [...];

"its marketing activities are expressions of its private form [...];

"when the user chooses to physically go to the authorized sales points [...] the issuance of a subscription is subject to the collection of a series of personal data, reported in the form [...] and uploaded to a management system in use by the Company";

"among the fillable fields there are also those related to the purposes referred to in letters b) and c) of the privacy notice therein (respectively, " and "). These fields are filled out taking into account the "privacy" will expressed by the customer and, more specifically, with: "consents", in case of authorization for the respective processing, or "does not consent" in case of non-release of the relevant consents";

"the printed form therefore states "consents" or "does not consent" - in the variable fields mentioned above - depending on whether the customer has expressed a favorable or negative choice, in a manner that is absolutely consistent with the expression of will manifested orally by the interested party [...]. It is specified that a copy of the form is provided to the interested party, who can then verify the correspondence of their wishes, to confirm or rectify them in case of erroneous entry by the Tper operator. The wishes of customers regarding the processing described in letter b) and letter c) of the form are also reflected in Tper's IT systems [...];

"although the expression used in the printed form [...] may be unclear and misleading, it does not intend to impose and does not impose in practice the release of mandatory consent to obtain the purchase of the subscription. The Company, in fact, confirms that the card containing the subscription is issued even in the absence of consent to the processing described in letters b) and/or c) [...];

"Tper has included a brief notice in the subscription issuance form [...]. An extended notice regarding the processing activities carried out in different contexts and for different services is then published on the Company's website (see <https://www.tper.it/cliente/note-legali-e-sulla-tutela-dei-dati-personali>) [...];

following the request for information from the Authority, "Tper has updated the card issuance form containing the transport subscription and the related privacy notice [...] reminding the interested parties that they can always revoke any consent given and detailing all the different types of communications (including service or institutional) that Tper may send over time";

"it is believed that the consent provided based on the notice in use [...] should be considered: specific, as for each purpose based on consent Tper asks the interested party to express a specific and distinct will; free, as the interested party has the option to deny consent for the aforementioned purposes; this does not prevent access to the service and the issuance of the personal card containing the local public transport subscription [...]; expressed, as the Tper ticket office operator is required to ask the interested party and to record their will in the systems [...]; documentable, as it is reported in the form issued to the interested party, as well as in the Company's IT systems";

"the form in question has been in effect since July 1, 2016, and is still in use. [...] the Company has updated the notice present in the form, which will soon be made available to users."

The Company has also provided a copy of the new request form for the card (attached 3 to the aforementioned note), as well as a copy of the new notice on the processing of personal data (attached 4 to the aforementioned note), both drafted following the initiation of the investigation by the Guarantor.

In response to a subsequent request for information made by the Authority (note prot. n. XX of X), the

Company, with note of XX (prot. n. XX) stated, in particular, that:

“the notice [...] is delivered directly to the customer by the ticket office operators along with the request form for the issuance of the recognition card to be used for the purchase of the subscription”;

“the form in question is to be considered the only form that the customer prepares for the request for the issuance of the personal card [...] By signing this form, consent is given for the processing of personal data. Consent is requested only at the time of issuance of this card and not subsequently upon request for activation of subscriptions on it”;

“the company uses the data subject to consent referred to in point b), solely [...] for conducting a telephone interview by a “Customer Satisfaction” operator, an activity requested by the Mobility Agency within the framework of the assignment to TPER of the local public transport service contract [...]”;

since July 1, 2016, a total of “about 2,000” interested parties have been contacted for this processing purpose;

“the company has sent and sends communications via SMS to inform about possible strikes or particular scheduled changes to the service. It is at the subscriber's discretion to give their consent to the sending of SMS based on their preferences”;

“the sending is repeated for each event [...]. The sending list is variable as it concerns only the subscribers affected by the individual event [...]. On average, a sending consists of about 40,000 contacts.”

In response to the request for further clarifications made by the Authority (note prot. n. XX of XX), The Company, with note dated XX (prot. n. XX), declared, in particular, that:

“the users to whom the first information was provided (valid [from July XX to February XX]) is equal to a total of 169,877”;

“the users to whom the second information was provided (currently valid) is equal to a total of 28,840”;

with regard to the duration of the retention periods of the personal data of the data subjects, acquired on the basis of the expressed consent for the purposes referred to in letters b) and c) of the application form for the card, used from XX to XX, “the data of the subjects requesting the subscription (mobile number and email address are optional data) were collected primarily for the purpose of executing the transport contract (and therefore issuing the subscription card) and to better provide the transport service (to notify the subject in case of relevant events concerning the service). Such data is retained for a period of 10 years following the expiration of the last subscription”;

“the purpose under b) constituted an ancillary purpose [...], which included customer satisfaction activities [...] and marketing purposes. This purpose, therefore, pursued on a legal basis of ‘consent’ is currently active only for customer satisfaction activities. No marketing activities have been carried out at this time [and] the data for such purposes is retained for the same duration as mentioned above, unless consent is revoked”;

“[...] at the moment no marketing activities are being carried out but [...] only processing activities aimed at customer satisfaction surveys exist. These activities to assess customer satisfaction are an integral part of TPER's contractual obligations as provided in Art. 14 point 3 of the public transport service contract between SRM (as the Mobility Agency) and TPB [, a consortium company of which TPER is a member], as they constitute part of the monitoring system on the quality of the service provided, which the operator is required to implement, use, and report to the contracting authority SRM, in order to verify the maintenance of minimum quality standards [...]”;

“[...] SRM and TPER have entered into an agreement whereby SRM has committed to carry out all these activities, both its own and those that TPER should have carried out on its own”;

“therefore, such activities are carried out annually by SRM, as the ‘supplier’ of TPER on a sample of approximately 400 annual subscribers”.

With note dated XX (prot. n. XX), the Office, based on the elements acquired, the checks carried out, and the facts emerged following the investigative activity, notified the Company, pursuant to Article 166, paragraph 5, of the Code, of the initiation of the procedure for the adoption of the measures referred to in Article 58, paragraph 2, of the Regulation:

for having provided the data subjects, during the period between XX and XX, with information on the processing of personal data lacking certain informational elements required by the legislation on

personal data protection and characterized by poor transparency, acting in a manner not compliant with the principle of lawfulness, fairness, and transparency, in violation of Articles 5, paragraph 1, letter a), 7, paragraph 3, 12, paragraph 1, 13, and 21, paragraph 4, of the Regulation (see subsequent paragraph 3.1);

for having collected and processed the personal data of the data subjects who signed the application form for the card between XX and XX for direct marketing purposes based on invalidly provided consent and, therefore, acting in a manner not compliant with the principle of lawfulness, fairness, and transparency, in violation of Articles 5, paragraph 1, letter a), 6, paragraph 1, letter a), and 7 of the Regulation, as well as Article 130, paragraphs 2 and 3, of the Code (see subsequent paragraph 3.2);

for having collected and processed the personal data of the data subjects who signed the application form for the card between XX and XX, for the purpose of sending SMS regarding the status of the service (strikes or changes to the schedule), based on invalidly provided consent and, therefore, in a manner not compliant with the principle of lawfulness, fairness, and transparency, in violation of Articles 5, paragraph 1, letter a), 6, paragraph 1, letter a), and 7 of the Regulation (see subsequent paragraph 3.3);

for having retained the personal data of the data subjects, also processed for marketing purposes, for a period of ten years from the expiration of the last subscription, excessively long and disproportionate, acting in a manner not compliant with the principle of data retention limitation, in violation of Article 5, paragraph 1, letter e), of the Regulation (see subsequent paragraph 3.4);

for not having reviewed and updated, by the effective date of the Regulation (May 25, 2018), either the information on the processing of personal data provided to the data subjects and the application form for the card and consent collection or its internal policies regarding data retention, acting in a manner not compliant with the principle of accountability, in violation of Article 5, paragraph 2, of the Regulation (see subsequent paragraph 3.5).

With the same note, the aforementioned data controller was invited to submit defensive writings or documents to the Authority or to request to be heard by the Authority (Article 166, paragraphs 6 and 7, of the Code, as well as Article 18, paragraph 1, of Law No. 689 of November 24, 1981).

With note dated XX (prot. n. XX), the Company submitted its defensive memorandum, stating, in particular, that:

“[the] card named ‘MiMuovo’ [is] useful for the purchase of various travel titles among those available, and [...] is used for the validation of the title for various types of transport [...]. This card is valid for 5 years, after which it must necessarily be replaced by users. During this validity period of the card, the user may subscribe to a subscription or not; in the latter case, the card is inactive (as there is no valid travel title associated) but “valid” for 5 years from its issuance: this allows the user to subscribe to one or more subscriptions during this time without having to request the issuance of a new “MiMuovo” card until the expiration of the 5 years. [These] characteristics of the card have therefore influenced the determination of the aforementioned retention period, equal to “10 years from the subscription of the last subscription”;

furthermore, “among the types of subscriptions offered to users, there are some that allow the customer to benefit from favorable conditions, including variable discounts depending on the indications provided in the various regional laws of reference and more specifically established by the Emilia-Romagna Region to which TPER must necessarily adhere. Among the various discounts provided, there are also those benefiting foreign individuals, minors, and disabled persons.

Consequently, TPER is subject, among others, to controls and checks regarding compliance with the legally imposed rules (including those on the amount of discounts applied). Additionally, under the 2021-2022 Budget Law, in the case of a subscription to public transport, the expense can be deducted from the income tax return, with the consequence that, even in such cases, there may be checks by the competent Authorities”;

“with respect to the regulatory benefits, it should be noted that some of these may be granted by the competent authorities even with retroactive effect (for example, a contribution dedicated to hydrocarbons approved with the agreement of XX has been recognized even for annual subscriptions purchased starting from XX). The retroactive effectiveness of some benefits therefore prevents the

cancellation of apparently “ordinary” records from the systems, as they may assume a different relevance at a time subsequent to the issuance of the subscription”;

“the aforementioned controls and checks have necessarily been taken into account for the purpose of defining the retention period mentioned above, as TPER must possess documentary evidence of the activities carried out to prove compliance with the legal requirements to which it is subject, since checks by the regional Authorities are subject to a 10-year limitation period and can therefore occur within this timeframe”;

“[moreover,] [...] TPER has the authority to impose penalties in the event of failure to present the title or in the case of abuses in its use by users, and that, in the event of disputes or failure to present the travel title, TPER can act for the recovery of the credit within 5 years from the non-payment of the injunction order. Subsequently, if a situation of non-payment persists on the part of the debtor, the credit is registered and the case is transmitted to the territorially competent Revenue Agency for the related collection, with possible subsequent litigation with the user. Such credit recovery activities therefore require the retention of users' personal data even if they no longer have active subscriptions, and the necessity of retention may vary depending on the collection process, which could also include direct litigation in the event of a dispute over the penalty by the user”;

therefore, the Company “believes that the retention period of 10 years that has been identified is to be considered legally correct and, more precisely, justified by the related obligations, rights, and powers of TPER”;

“however, in order to improve its level of compliance and with a view to continuous improvement, TPER is conducting further legal investigations to understand the possibility of reducing, possibly also differentiating users in its systems, the retention period currently applied”:

“regarding the lawfulness of the consents collected by TPER until XX, it must be considered that they can be deemed valid and not forcibly extorted. Indeed, although the expression used in the printed form [...] and delivered to the interested parties as a summary of the choices expressed (“aware that the lack of consent to the processing of data for the activities indicated in letters b and c will result in Tper Spa's inability to carry them out and therefore the impossibility of accessing the aforementioned services”) may be somewhat unclear and misleading, it was not intended to impose — and has never in fact imposed - the release of mandatory consent to obtain a subscription. So much so that the cards issued as of XX were not conditioned on the release of marketing consent and were rightly issued even to users who had denied consent to such activities at the time of purchasing the card”;

“furthermore, that the aforementioned phrase referred to services related to the purposes of sending is demonstrated by reading the Short Notice: the reference to services pertains to those mentioned in letters b) and c) — otherwise, a singular expression would have been used to refer to that of letter a) — cited in the same sentence that describes the consequences of the lack of provision [...]”;

“to confirm the above, it should be noted how in the form that was printed and released to the user clearly stated the following wording:

“aware that the provision of data is mandatory for the issuance by TPER SpA of the personal identification card (letter a),” meaning that the only provision of data deemed mandatory (or more precisely, strictly necessary) was that for the issuance of the MiMuovo Card and never for the pursuit of the purposes referred to in letters b) and c) which were not mentioned. This phrase is then inserted immediately before the one that describes the consequences of the lack of consent for the purposes of letters b) and c): it must therefore be considered clear that “the inability to access

the services mentioned above” referred to marketing activities and the sending of SMS, which must certainly also be understood as services offered to users, if expressly requested. It is therefore requested to read the phrase deemed ambiguous together with the one that precedes it [...]”;

“[...] with respect to the fulfillment of the principle of transparency, it is noted that the possibility of opposing the processing carried out for marketing purposes was indeed already present in the Extended Information in use until XX and which was delivered to the customer at the time of the subscription issuance: this document extensively reports the rights recognized pursuant to Article 7 of the Code in the version prior to the amendment of 2018 (see Article 7, paragraph 4, letter b of the Code reported at the bottom of the Extended Information), among which is also the right to oppose [...]”;

“in light of the above, it is considered clear that no consent was mandatory for the purchase of the MiMuovo card or for the purchase of the subscription. Nor could it have been otherwise, as the service provided by TPER is an essential public service carried out for the benefit of the community”;

“the signing of the Short Information was affixed only to confirm the acknowledgment of the text, as it was issued by the ticket office staff after the completion of the registration in the system, thus allowing users to verify what was reported therein and, if necessary, to correct any errors. As stated, the signature is not an expression of any privacy consent. Positive and negative preferences are valued, in addition to being in the system, also reflected within the text of the Short Information, in letters b) and c) [...]”;

“moreover, conversely, there would be no reason to find in TPER's systems negative privacy manifestations from the data subjects [...]”;

“pending the initiation of the [...] procedure, [the Company] not only provided the new privacy information to the data subjects who signed the subscription by purchasing the MiMuovo card (therefore to about 102,033 data subjects from XX to XX), but also began to structure a campaign to send the new information to customers”;

“with reference to the lawfulness of the processing carried out with the sending of informative SMS, [...] the Company, with a view to great attention and protection of the data subject, limited the forwarding of such messages only to those who indeed had an active

subscription, had given consent for this purpose, and were actually impacted by the service disruption being communicated”; the Company reiterates the “voluntariness of the provision of this consent as well as [...] the possibility for the user to oppose, as reminded to the user in the text of the Extended Information [...]”; in any case, “the seriousness of the violation allegedly committed by TPER should be framed at a minimal level. The Company, in fact, acted in absolute good faith, never driven by the intent to monetize or profit from the use of the personal data collected, but solely for the exclusive purpose of providing a good service to the community and continuously improving its delivery”;

“in order to reduce the impacts on the data subjects, the Company updated the privacy information in XX [...], and will send it to the still active subscribers in possession of a MiMuovo card issued before the aforementioned update. Furthermore, TPER will not process the data of users whose consents were collected based on the previous information, unless a privacy preference related to the issuance of the new information is recorded in the system.”

3. Outcome of the investigative activity.

3.1 The information on the processing of personal data.

In compliance with the principle of “lawfulness, fairness, and transparency,” the data controller must adopt appropriate measures to provide the data subject, before starting the processing, with all the information required by the Regulation in a concise, transparent, intelligible, and easily accessible form, using simple and clear language (Articles 5, paragraph 1, letter a), 12 and 13 of the Regulation; see also recitals 39 and 58 of the Regulation; cf. Article 29 Working Party, “Guidelines on Transparency under Regulation 2016/679,” amended version adopted on April 11, 2018, WP260 rev.01).

From the documentation on file and the statements made during the investigation, it appears that, in this specific case, the application form for the card, used by the Company at authorized sales points from XX until the month of XX (see attachment 1 to note prot. n. XX of XX), referred to information on the processing of data (“attachment information pursuant to Article 13 of Legislative Decree No. 196/2003”) which, as stated by the Company, “is not [...] an attachment to the form but is referenced in it as it is delivered directly to the customer

by the ticket office operators together with the form" (see attachment 1 to note prot. n. XX of XX). It should be noted that, although the Regulation was

effective as of May 25, 2018, the information in question mentioned provisions of the Code (see references to Articles 13 and 7) that are no longer applicable from that date and were then formally repealed by Legislative Decree No. 101 of August 10, 2018. It is noted that, contrary to what is provided for in Article 13 of the Regulation, this information:

1. does not indicate the contact details of the data protection officer designated by the Company (cf. Article 13, paragraph 1, letter b), of the Regulation);
2. does not indicate the legal basis for processing for each purpose pursued (cf. Article 13, paragraph 1, letter c), of the Regulation);
3. does not mention "any recipients or categories of recipients of personal data," limiting itself to stating that "some third parties may be appointed by TPER to collect and process your data" (cf. Article 13, paragraph 1, letter e), of the Regulation);
4. does not indicate the retention period for personal data or, if not possible, the criteria used to determine such period (cf. Article 13, paragraph 2, letter a), of the Regulation);
5. does not mention the rights of the data subjects under Articles 15-22 of the Regulation (cf. Article 13, paragraph 2, letter b), of the Regulation), limiting itself to reporting the text of Article 7 of the Code, in the version prior to the amendments made by Legislative Decree 101/2018, which only partially coincide with those provided for by the Regulation, and does not indicate the methods by which it is possible to exercise such rights;
6. does not mention the existence of the right to withdraw consent at any time without affecting the lawfulness of the processing based on consent before the withdrawal (cf. Article 13, paragraph 2, letter c), of the Regulation);
7. does not mention the right to lodge a complaint with a supervisory authority (cf. Articles 13, paragraph 2, letter d), of the Regulation).

In the information in question, it is also stated that "the provision of data is mandatory for the issuance by TPER SpA of the subscription and/or identification card" (see also the similar wording in the application form for the card), without any indication regarding which specific data must necessarily be provided for the issuance of the card and the use of transport services, and which, instead, could be optionally provided in case of consent to the processing of data for other processing purposes (see the Company's statements regarding the circumstance that "mobile number and email address are optional data").

Regarding the statement at the bottom of the application form for the card, according to which "the lack of consent to the processing of data for the activities indicated in letters b and c will result in TPER SpA's inability to proceed and therefore the inability to access the aforementioned services," it is noted that this is unclear and misleading for the data subjects, as the reference to "services" implies that consent to the processing of personal data for the purposes under letters c) and d) is necessary for obtaining the card and subscribing to a subscription.

With regard to the circumstance that, as stated during the investigation, an "extended information notice regarding the processing activities carried out in different contexts and for different services" was "published on the Company's website," the text of which was not submitted during the investigation, it is noted that, in any case, this extended information was not mentioned in the application form in question, nor does it appear from the records that it was published or made available to the data subjects at the premises of authorized sales points.

Furthermore, regarding the fulfillment of transparency obligations towards the data subjects, it is observed that neither the contractual application form for the card nor the information on the processing of personal data informed the data subject that they "have the right to withdraw their consent at any time" and that "the withdrawal of consent does not affect the lawfulness of the processing based on consent before the withdrawal" (Article 7, paragraph 3, of the Regulation). The

Company also did not bring to the attention of the data subjects, presenting it clearly and separately from any other information, the right to object to processing for direct marketing purposes (Article 21, paragraph 4, of the Regulation), having limited itself to reporting the text of Article 7 of the Code, which is no longer in force.

It is also noted that during the period between the month of XX and the month of XX, the Company offered subscribers the option to receive, on an optional basis, SMS "related to the service provided by TPER" (see Annex 1 to the note of XX of XX). As stated during the investigation, such SMS would be sent to "inform about any strikes or particular scheduled changes to the service." The information provided to the data subjects in this regard is therefore extremely generic, as the actual circumstances under which the data subjects could receive such SMS were not clarified, compromising their ability to understand the purposes of the processing actually pursued (cf. Article 13, paragraph 1, letter c), of the Regulation).

In light of all the above, it has been established that the Company, during the period between the month of XX and the month of XX, provided the data subjects with information on the processing of personal data lacking certain informational elements required by the regulations on personal data protection, and characterized by poor transparency, acting in a manner not compliant with the principle of "lawfulness, fairness, and transparency", in violation of Articles 5, paragraph 1, letter a), 7, paragraph 3, 12, paragraph 1, 13, and 21, paragraph 4, of the Regulation.

3.2 Consent to the processing of personal data for direct marketing purposes.

In compliance with the principle of accountability (Articles 5, paragraph 2, and 24 of the Regulation), the data controller is required to demonstrate that the processing carried out by them complies with the principle of "lawfulness, fairness, and transparency" (Article 5, paragraph 1, letter a) of the Regulation), also with regard to the existence of the conditions for the validity of consent (cf. Articles 6, paragraph 1, letter a), and 7 of the Regulation).

Specifically regarding processing carried out for direct marketing purposes, Article 130, paragraphs 1 and 2, of the Code conditions the possibility of processing personal data "for the sending of advertising material or direct sales or for conducting market research or commercial communication", through electronic communications, on obtaining the "consent of the contracting party or user".

Article 7, paragraph 1, of the Regulation states that "where the processing is based on consent, the data controller must be able to demonstrate that the data subject has given their consent to the processing of their personal data".

For consent to be considered valid, it must, in any case, consist of a "free, specific, informed, and unambiguous indication of the data subject's wishes, by which the data subject signifies their agreement, by a statement or a clear affirmative action, to the processing of personal data concerning them" (Article 4, paragraph 1, no. 11) of the Regulation).

Pursuant to Article 7, paragraph 4, of the Regulation, "in assessing whether consent has been freely given, account shall be taken of the circumstances, among others, that the performance of a contract, including the provision of a service, is conditional on the provision of consent to the processing of personal data that is not necessary for the performance of that contract" (cf. recital no. 43).

The data controller, in the context of accountability, is nonetheless required to comply with all other principles regarding data protection, including the principle of "storage limitation", according to which personal data must be "kept in a form which permits identification of data subjects for no longer than is necessary for the purposes for which the personal data are processed" (Article 5, paragraph 1, letter e), of the Regulation).

That said, it is noted that – although, as stated by the Company during the investigation, it has never sent communications to data subjects for marketing purposes (or, as reported in the application form for the card, for "forwarding informational and advertising material" – the methods by which the Company, during the period between the month of XX and that of XX, collected the consent of data subjects for the processing of personal data for such purposes cannot be considered compliant with the requirements set forth by data protection legislation.

It should be noted that the consent of the data subject (cf. Article 6, paragraph 1, letter a) of the

Regulation) can only be considered validly given if it expresses a “free, specific, informed, and unambiguous indication of the data subject's wishes, by which the data subject signifies their agreement, by a statement or a clear affirmative action, to the processing of personal data concerning them” (Article 4, paragraph 1, no. 11), of the Regulation).

In this case, the freedom of consent appears to be compromised by the circumstance that, as highlighted above, the form in question ambiguously and opaquely states that “the lack of consent to the processing of data for the activities indicated in letters b) and c) will result in TPER SpA being unable to carry them out and therefore the inability to access the aforementioned services”.

From the perspective of the data subject, it is therefore unclear whether the term “services” refers to the transport services provided by the Company or, improperly, to the promotional and informational activities referred to in letters b) and c) of the form. This ambiguous expression may consequently lead the data subject to believe that consent to processing is necessary to obtain the card and benefit from transport services. On the other hand, this is an undisputed aspect, as the Company itself has acknowledged in its defense memorandum that the formulation in question is “unclear and misleading”. It is noted, in this regard, that Article 7, paragraph 4, of the Regulation specifically provides that “in assessing whether consent has been freely given, account shall be taken of the circumstances, among other things, that the performance of a contract, including the provision of a service, is conditional on the provision of consent to the processing of personal data that is not necessary for the performance of the contract”. The fact that the Company has presented the granting of consent in question as a condition for being able to use its services does not allow for the consideration of such consent as freely given (cf. decisions of December 15, 2022, no. 431, web document no. 9856345; June 12, 2019, no. 130, web document no. 6955363).

Nor can the Company's defense argument be accepted, according to which in no case would it have actually denied the provision of the service to users.

of the proceedings, the consent was collected in a manner that was compliant with the applicable regulations. The essential elements of free, specific, informed consent have not been met, as outlined in the preceding paragraphs.

1. ****Consent and Conditioning****

The users who did not provide consent for the processing of their data for the purposes referred to in letters b) and c) are at the center of the dispute against the Company. The challenge raised against the Company concerns exclusively the conditioning experienced by users at the time of the consent request—who may have been led to give consent due to the fear of not being able to fully or partially access transportation services—and not the actual failure to provide the service to users who denied consent. In other words, this conditioning occurred regardless of the subsequent correct fulfillment by the Company of the obligations related to the provision of public transportation services. This is also due to the strong and anticipatory protection that must be guaranteed to the right to data protection as a fundamental human right.

2. ****Reference to Services****

The argument that the reference to the “services mentioned above” in the application form for the card (“Aware that the lack of consent to the processing of data for the activities indicated in letters b and c will result in TPER SpA's inability to carry them out and therefore the impossibility of accessing the aforementioned services”) should be understood not as referring to transportation services but rather to those referred to in letters b) and c) cannot be accepted. This is because the activities referred to in letters b) and c) (market research, surveys, participation in promotional initiatives, forwarding advertising material, etc.) cannot be assimilated to services provided to the user. Therefore, from the user's perspective, the generic reference to the “services mentioned above,” within a formulation that the Company itself has defined as “unclear and misleading,” could only be understood as a reference to the transportation services provided by the Company.

3. ****Obligation to Provide Data****

Nor can the circumstance that users were informed in the form that “the provision of data is mandatory for the issuance by TPER SpA of the personal identification card (letter a)” be considered decisive.

This is because, in light of a consent given for the purposes referred to in letters b) and c) under the conditioning arising from the risk of not being able to access transportation services, users would have perceived the provision of all data requested by the Company as necessary. It is reiterated, as already noted in the previous paragraph 3.1, that neither the contractual form nor the information on processing contained any indication regarding data whose provision would have been optional (see the Company's statements regarding the circumstance that "mobile number and email address are optional data," which is not reflected in the forms used).

4. ****Right to Object****

Regarding the fact that users were made aware through the information provided with the form about the right to object to the processing of data "for the purpose of sending advertising material or direct sales or for conducting market research or commercial communication," it is noted that the right to object can be exercised by the interested parties concerning processing already carried out by the data controller (see art. 18 of the Regulation). Therefore, the defensive argument used by the Company is irrelevant to the issue of assessing the freedom of consent to the processing requested from the interested parties at the time of data collection (see art. 21, par. 3, of the Regulation, according to which "if the data subject objects to processing for direct marketing purposes, personal data shall no longer be processed for such purposes").

5. ****Ambiguity in Consent****

With specific regard to the purpose of processing referred to in letter b) of the form, it is noted that the freedom of consent of the interested party was further compromised by the circumstance that the expression of consent was ambiguously related to the processing carried out for the purpose of "participation in any promotional initiatives related to the purchase of personal annual subscriptions to TPER SpA, including prize competitions" (sub letter b) of the form). Such processing, in the event of the interested party's adherence to the initiative, finds its legal basis in the necessity to execute a contract of which the interested party is a part, namely the terms and conditions governing each initiative (see art. 6, par. 1, letter b), of the Regulation). The interested party could, therefore, be induced to give a single consent for different purposes of processing, with their will conditioned by the fear that, by not giving the requested consent, they would not be able to participate in the promotional initiatives launched by the company, including prize competitions.

6. ****Informed Consent****

The consent of the interested party cannot even be considered adequately informed, given that, as stated in the previous paragraph 3.1, the Company did not clearly inform the interested parties that the processing of personal data for marketing purposes was based on their optional consent and that in the event of a lack of consent, the possibility of obtaining the card and subscribing to the subscription would not be compromised. Furthermore, it was not made known to the interested parties that consent could be revoked at any time and freely, opposing further processing, without this affecting the validity of the consent previously given (see arts. 7, par. 3, 13, par. 2, letter c), and 21, par. 2, of the Regulation).

7. ****Conclusion****

In light of the above, the consent of the interested parties to the processing of their personal data for marketing purposes cannot be considered valid, as it is neither free, nor specific, nor adequately informed. Moreover, the circumstance that, as stated by the Company during the proceedings, the consent was collected in a manner compliant with the applicable regulations does not alter this conclusion.

of the investigation, the personal data of the interested parties who have given the consent in question has been processed solely for the purpose of assessing customer satisfaction and not for direct marketing purposes. This is because the collection and storage of the data in question constitute, in themselves, processing operations that must be supported by all the safeguards provided for by the regulations on data protection, including with regard to the existence of an appropriate legal basis. For all the reasons outlined above, the processing of personal data for marketing purposes of the interested parties who signed the application form for the card between XX and XX was based on

consent that was not validly given and, therefore, in a manner inconsistent with the principle of "lawfulness, fairness, and transparency," in violation of Articles 5, paragraph 1, letter a), 6, paragraph 1, letter a), and 7 of the Regulation, as well as Article 130, paragraphs 2 and 3, of the Code.

3.3 Consent to the processing of personal data for the sending of SMS related to the transport service. During the period between the month of XX and the month of XX, the Company offered the interested parties the possibility of receiving, upon consent, SMS "related to the service provided by TPER" (see information on the processing of personal data referred to in Annex 1 to the note of XX of XX, with particular reference to the processing purpose under letter c)). As stated during the investigation, such SMS would be sent to "inform about any strikes or particular scheduled changes to the service." In this regard, it is noted that, given what was highlighted in the previous paragraphs 3.1 and 3.2 regarding the generality of the information on the processing of personal data provided to the interested parties about the specific purposes pursued through the sending of such SMS, as well as regarding the absence of indications on the optional nature of the consent (without consequences on the possibility of obtaining the card and subscribing to the subscription), the latter cannot be considered free and informed. Consequently, closely related to the violation mentioned in the previous paragraph 3.2, it must be noted that the processing of the personal data of the interested parties who signed the application form for the card between XX and XX, for the purpose of sending SMS related to the service provided (strikes or changes to the schedule), as presented by the Company to the interested parties as optional processing, was based on consent that was not validly given and, therefore, in a manner not compliant with the principle of "lawfulness, fairness, and transparency," in violation of Articles 5, paragraph 1, letter a), 6, paragraph 1, letter a), and 7 of the Regulation.

3.4 The retention period of personal data. Regarding the personal data of users acquired based on the expressed consent for the purposes referred to in letters b) and c) of the subscription form used from XX to XX, the Company stated that "the data of the subjects requesting the subscription (mobile number and email address are optional data) were collected primarily for the purpose of executing the transport contract (and therefore issuing the subscription card) and to better provide the transport service (to inform the subject in case of significant events concerning the service). Such data are retained for a period of 10 years following the expiration of the last subscription" (note prot. n. XX of XX). In particular, "the purpose under b) constituted an ancillary purpose [...], which included customer satisfaction activities [...] and marketing purposes," and for this purpose "the data [...] are retained for the same duration mentioned above [, that is, ten years from the expiration date of the last subscription,] unless consent is revoked" (ibid.). Such an extended retention period (ten years from the expiration date of the last subscription) of personal data cannot be considered proportionate. Also in light of the principle of accountability and the "general responsibility" that rests with the data controller (see Articles 5, paragraph 2, and 24 of the Regulation; see also Recital 74 of the Regulation), the Company should have defined specific and appropriate retention periods even for data processed for marketing purposes, customer satisfaction assessment, and sending service communications, and should be able to justify the choices made. In this regard, it is noted, as recently reiterated by this Authority, that "the decision of the Guarantor of February 24, 2005, 'Fidelity card' and guarantees for consumers," although no longer binding, is still considered applicable as a guideline and therefore the timing provided therein (24 months for data related to marketing; 12 months for data related to profiling) also applies. Moreover, while valuing the principle of accountability, even with reference to the delicate matter of data retention, one cannot certainly conclude that a data controller, based on this principle which needs to be balanced with other fundamental principles provided by the Regulation, can deviate excessively from the aforementioned provisions without risking a violation of the principle of data retention limitation (see Article 5, paragraph 1, letter d) of the Regulation). For example, the retention of marketing-related data until the date of revocation of consent to processing, pursuant to Article 7 of the Regulation, is considered inappropriate, also considering that the interested party may never change their mind or maintain it.

****Unchanged for Years**** (provision July 18, 2023, no. 321, web doc no. 9920942; see also provisions June 8, 2023, no. 253, web doc no. 9909907; April 7, 2023, no. 188, web doc no. 9902472; October 20, 2022, no. 348, web doc no. 9825667).

The Company has, instead, retained all personal data of the cardholders for a single and disproportionate retention period of ten years from the expiration date of the last subscription, not having adequately proven that, in relation to the data considered optional, as instrumental to pursuing the purposes under letters b) and c) of the card request form, there is a need to carry out such prolonged retention.

On the other hand, the Company itself has stated that “further legal investigations are underway to understand the possibility of reducing, possibly also differentiating users in its systems, the retention period currently applied,” from which it can be inferred that such an assessment was not adequately carried out in the past, as the Company did not establish ex ante the retention periods of the data for each specific purpose of processing and every different context.

Having defined a single and disproportionate data retention period of ten years from the expiration date of the last subscription, even for processing purposes related to marketing, the Company has acted in a manner inconsistent with the principle of “data retention limitation,” in violation of Article 5, paragraph 1, letter e), of the Regulation (see also Article 25, paragraph 2, of the Regulation).

****3.5 Compliance with the Accountability Principle.****

Within the legal framework defined by the Regulation, the data controller has the responsibility to ensure compliance with the basic principles regarding data protection and must be able to demonstrate it.

The fact that the Company, which serves a significant user base, has not reviewed and updated, by the effective date of the Regulation (May 25, 2018), either the information on the processing of personal data provided to the data subjects and the card request form and consent collection, nor its internal policies regarding data retention, resulting in a violation of the principles of “lawfulness, fairness, and transparency” and “data retention limitation,” demonstrates the substantial negligence of the Company in fulfilling the obligations arising from the Regulation and the Code, and in complying with the accountability principle, thus violating Article 5, paragraph 2, of the Regulation (also with reference to Article 24 of the Regulation).

****4. Conclusions.****

In light of the assessments mentioned above, it is noted that the statements made by the data controller during the investigation – the truthfulness of which may be subject to accountability under Article 168 of the Code – although deserving of consideration, do not allow for overcoming the objections notified by the Office with the initiation of the procedure and are insufficient to allow for the archiving of the present procedure, as none of the cases provided for by Article 11 of the Garante Regulation no. 1/2019 apply.

It is also represented that for the determination of the applicable norm, from a temporal perspective, particular reference must be made to the principle of legality set forth in Article 1, paragraph 2, of Law no. 689/1981, which states that “laws that provide for administrative penalties apply only in the cases and times considered therein.” This establishes the obligation to take into account the provisions in force at the time of the violation committed, which in this case – given the permanent nature of the contested unlawful act – must be identified at the time of cessation of the unlawful conduct, which occurred after May 25, 2018, when the Regulation became applicable and Legislative Decree August 10, 2018, no. 101 came into force. In this case, the personal data of the data subjects, although collected before the effective date of the Regulation (May 25, 2018), were still subject to processing by the Company at the time when the administrative violation was notified to it. Therefore, the provisions of the Regulation and the Code, in their currently applicable text, apply.

Thus, the preliminary assessments of the Office are confirmed, and the unlawfulness of the processing of personal data carried out by the Company is noted, for having processed the personal data of the data subjects in violation of Articles 5, paragraph 1, letters a) and e), and paragraph 2, 6, paragraph 1, letter a), 7, 12, paragraph 1, 13 and 21, paragraph 4, of the Regulation, as well as Article 130, paragraphs 2 and 3, of the Code.

Considering that the violation, moreover multiple, of the aforementioned provisions occurred as a result of a single conduct (same processing or interrelated treatments), Article 83, paragraph 3, of the Regulation applies, according to which the total amount of the administrative pecuniary sanction does

not exceed the amount specified for the most serious violation. Given that, in this case, all violations are subject to the administrative sanction provided for by Article 83, paragraph 5, of the Regulation, as also referred to by Article 166, paragraph 2, of the Code, the total amount of the sanction is to be quantified up to €20,000,000, or for enterprises, up to 2% of the total annual worldwide turnover of the previous financial year, if higher. Considering that the total annual turnover of the Company in 2022 is €219,377,426.00, the total amount of the sanction is to be quantified up to €20,000,000.

5. Corrective Measures (Article 58, paragraph 2, letters d) and f) of the Regulation).

Article 58, paragraph 2, of the Regulation grants the Authority the power to “order the data controller or the data processor to bring processing into compliance with the provisions of this regulation, if necessary, in a specific manner and within a specified time frame” (letter d), to “impose a temporary or definitive limitation on processing, including a ban on processing” (letter f), as well as to “order the rectification, erasure of personal data or the restriction of processing [...]” (letter g).

Based on the findings from the investigation regarding the collection and processing, during the period from XX to XX, of the personal data of the data subjects, based on invalidly obtained consent, it is necessary, pursuant to Article 58, paragraph 2, letters d), f) and g) of the Regulation:

- to impose a ban on processing the personal data of the data subjects for marketing purposes and for sending communications regarding the status of the transport service, based on the invalidly obtained consents during the period from XX to XX, it being understood that the Company may still send any other communication necessary to fulfill legal obligations (Article 6, paragraph 1, letter b), of the Regulation) or to execute the subscription contract (Article 6, paragraph 1, letter c), of the Regulation);
- to order the provision to the data subjects of the new information on the processing of personal data prepared by the Company, making it available on its institutional website, at its headquarters and points of sale, as well as providing it, on an individual basis, to each data subject at the first available opportunity for contact.

Pursuant to Articles 58, paragraph 1, letter a), of the Regulation and 157 of the Code, the Company must also communicate to this Authority, providing adequately documented feedback, within thirty days from the notification of this provision, the initiatives undertaken in order to implement the above orders pursuant to the aforementioned Article 58, paragraph 2, letter f), as well as any measures taken to ensure compliance of the processing with the regulations on personal data protection.

6. Adoption of the injunction order for the application of the administrative pecuniary sanction and accessory sanctions (Articles 58, paragraph 2, letters i and 83 of the Regulation; Article 166, paragraph 7, of the Code).

The Authority, pursuant to Articles 58, paragraph 2, letter i) and 83 of the Regulation as well as Article 166 of the Code, has the power to “impose an administrative pecuniary sanction pursuant to Article 83, in addition to the [other] corrective measures [referred to in this paragraph], or in lieu of such measures, depending on the circumstances of each individual case” and, in this context, “the Board [of the Authority] adopts the injunction order, which also provides for the application of the accessory administrative sanction of its publication, in whole or in part, on the Authority's website pursuant to Article 166, paragraph 7, of the Code” (Article 16, paragraph 1, of the Regulation of the Authority No. 1/2019).

In this regard, taking into account Article 83, paragraph 3, of the Regulation, in this case the violation of the cited provisions is subject to the application of the administrative pecuniary sanction provided for by Article 83, paragraph 5, of the Regulation.

The aforementioned administrative pecuniary sanction imposed, depending on the circumstances of each individual case, must be determined in amount taking into due account the elements provided for by Article 83, paragraph 2, of the Regulation.

With specific regard to the nature and severity of the violation and the sensitivity of the data affected by the violation (Article 83, paragraph 2, letter a), of the Regulation), the high number of data subjects whose data were processed (“approximately 2,000” data subjects were contacted since 2006 for the purpose of assessing customer satisfaction and, on average, SMS messages regarding service status were sent to “approximately 40,000 contacts” for each sending) and the extended time frame (from XX to XX) in which the Company used non-compliant forms with the regulations on data protection were

considered.

On the other hand, it was noted that the Company, which provides a public service, declared, assuming responsibility also pursuant to Article 168 of the Code, that it has never sent marketing communications to the data subjects, having only carried out activities to assess customer satisfaction, and therefore, it has not gained any economic advantage from the processing carried out. Moreover, no complaints have been received by the Authority regarding the sending of unwanted marketing communications by the Company.

Regarding the categories of personal data affected by the violation (Article 83, paragraph 2, letter g), of the Regulation), it is observed that the violation did not concern personal data belonging to special categories (Article 9 of the Regulation) or relating to criminal convictions or offenses (Article 10 of the Regulation), although it referred to a large number of data subjects and due to the length of time elapsed in violation of the regulations.

In light of these circumstances, it is believed that, in this case, the level of severity of the violation committed by the data controller is low (cf. European Data Protection Board, "Guidelines 04/2022 on the calculation of administrative fines under the GDPR" of May 23).

2023, point 60).

Considering that, as mitigating circumstances, there are no relevant previous violations committed by the Company in the same context (art. 83, par. 2, lett. e), of the Regulation) and that it has offered a high level of cooperation during the investigation, promptly taking action to review its forms and internal policies based on the Authority's observations (art. 83, par. 2, lett. f), of the Regulation), it is deemed appropriate to determine the amount of the administrative fine at €50,000 (fifty thousand) for the violation of articles 5, par. 1, lett. a) and e), and par. 2 (also in reference to art. 24), 6, par. 1, lett. a), 7, 12, par. 1, 13 and 21, par. 4, of the Regulation, as well as 130, paragraphs 2 and 3, of the Code, as an administrative pecuniary sanction deemed, pursuant to art. 83, par. 1, of the Regulation, effective, proportionate, and dissuasive.

Considering that the Company committed the aforementioned violations despite the numerous measures adopted over time by the Authority, both with general measures and with decisions on specific cases, regarding the correct methods of obtaining informed consent from data subjects for the processing of personal data for marketing purposes, it is also deemed that, given the high number of unlawfully processed data, the accessory sanction of publication on the Authority's website of this provision should be applied, as provided for by art. 166, paragraph 7, of the Code and art. 16 of the Authority's Regulation no. 1/2019.

It is finally noted that the conditions of art. 17 of Regulation no. 1/2019 are met.

ALL OF THE ABOVE CONSIDERED, THE AUTHORITY

declares, pursuant to art. 57, par. 1, lett. f), of the Regulation, the unlawfulness of the processing carried out by the company Trasporto Passeggeri Emilia-Romagna S.p.A for violation of articles 5, par. 1, lett. a) and e), and par. 2, 6, par. 1, lett. a), 7, 12, par. 1, 13 and 21, par. 4, of the Regulation, as well as 130, paragraphs 2 and 3, of the Code, in the terms stated in the reasoning;

ORDERS

the company Trasporto Passeggeri Emilia-Romagna S.p.A., represented by its legal representative pro tempore, with registered office at Via di Saliceto, 3 - 40128 Bologna (BO), C.F. 03182161202, to pay the sum of €50,000 (fifty thousand) as an administrative pecuniary sanction for the violations indicated in the reasoning. It is represented that the offender, pursuant to art. 166, paragraph 8, of the Code, has the option to settle the dispute by paying, within 30 days, an amount equal to half of the imposed sanction;

COMMANDS

the aforementioned Company:

to pay the sum of €50,000 (fifty thousand) in case of failure to settle the dispute pursuant to art. 166, paragraph 8, of the Code, according to the methods indicated in the attachment, within thirty days from the notification of this provision, under penalty of the adoption of the consequent executive acts in accordance with art. 27 of Law no. 689/1981;

pursuant to art. 58, par. 2, lett. f) and d), of the Regulation:

the prohibition on processing the personal data of the data subjects for marketing purposes and

sending communications regarding the status of the transport service, based on the invalidly obtained consents during the period from XX to XX, it being understood that the Company may still send any other communication necessary to comply with legal obligations (art. 6, par. 1, lett. b), of the Regulation) or to execute the subscription contract (art. 6, par. 1, lett. c), of the Regulation); the immediate deletion of such data, except for those that must be retained for compliance with a legal obligation or for any contractual reasons;

to provide all data subjects with the new information on the processing of personal data prepared by the Company, making it available on its institutional website, at its headquarters and its sales points, as well as providing it individually to each data subject at the first available opportunity for contact; pursuant to art. 157 of the Code, to communicate to the Authority, within 30 days from the notification of this provision, the initiatives undertaken to implement the imposed measures;

the possible failure to comply with the provisions of this point may result in the application of the administrative pecuniary sanction provided for by art. 83, par. 5, of the Regulation.

ORDERS

the publication of this provision on the Authority's website pursuant to art. 166, paragraph 7, of the Code (see art. 16 of the Authority's Regulation no. 1/2019);

the annotation of this provision in the internal register of the Authority, as provided for by art. 57, par. 1, lett. u), of the Regulation, of the violations and measures adopted in accordance with art. 58, par. 2, of the Regulation (see art. 17 of the Authority's Regulation no. 1/2019).

Pursuant to arts. 78 of the Regulation, 152 of the Code, and 10 of Legislative Decree no. 150/2011, against this provision it is possible to appeal to the ordinary judicial authority, under penalty of inadmissibility, within thirty days from the date of communication of the provision itself or within sixty days if the appellant resides abroad.

Rome, February 22, 2024

THE PRESIDENT

Stanzione

THE REPORTER

Ghiglia

THE SECRETARY GENERAL

Mattei